Perhaps the most striking feature of BRICS collaboration has been their ability to hang together in exercising "financial statecraft," which this study defines as the use of financial and monetary policies by sovereign governments for the purpose of achieving larger foreign policy goals. While most discussions of financial statecraft have focused exclusively on sanctions, typically employed by the United States and other G7 countries against lesser powers, other policies—from exchange rate choices, to lobbying for reforms in global financial governance to utilizing the countries' financial capabilities to induce or pressure other governments—also illustrate the possibilities. In the early 21st century, the BRICS countries have cooperated to promote reforms of the Bretton Woods institutions, encourage internationalization of China's currency, the yuan or RMB, and build parallel international financial institutions. They also have stood together in opposition to financial sanctions by the major Western incumbent powers. They have not always achieved their stated foreign policy goals, yet they have been more successful in crafting and carrying out common positions in financial statecraft than one might have expected.

Ten years on, this is an appropriate time to take stock of the puzzling developments of BRICS collective financial statecraft, analyze more systematically how and why the BRICS manage to collaborate, and offer some insights into the theoretical implications of BRICS cooperation. Following this introductory section, this chapter discusses three interrelated elements of BRICS collective financial statecraft. First, the puzzle of BRICS cooperation is closely associated with debates about the rise of China and "the rest" and the implications for the existing international order of power shifts that challenge incumbents' influence in global governance institutions.[18] The BRICS engage in individual and collective strategies to challenge the domination of the United States as the hegemon and principal rule-maker in the contemporary international system. Their motivation in support of collective action is strengthened by their common aversions to the preponderant U.S. and Western positions in the global financial system and in governance institutions, as well as the incumbent powers' use of statecraft, including unilateral economic and financial sanctions. Second, within global governance institutions where the costs and benefits of collective action are allocated and distributed as part of power relationships,[19] BRICS governments emulate mechanisms used by the status quo powers—notably their ability to coordinate as a club—to help